Of the three key financial functions—payments, investments and credit—credit is the most complex. It is not simply a transaction. For credit, a decision has to be made in each individual case about the credit risk faced by the lender. This assessment of credit risk leads to certain other decisions regarding the time for which credit can be made, the interest to be charged, collateral to be taken and the like. These decisions require a lot of supporting data, information and security.

Digitalization of businesses, cash flows, assets and registration of charges has made it much easier to assess the credit, secure the security and take control on cash flows when necessary. Digitalization makes such assessments and decisions even for the smallest of businesses, like single-account or single-person businesses.

Digitalization of businesses and digitization of data has made it possible to break down credit businesses in specific discrete actions. It is possible to make credit assessment a discrete activity, which is facilitated by the credit information bureaus, to ascertain the credit worthiness, which is facilitated by credit rating agencies, doing KYC (‘know your customer’), which is facilitated by the central KYC agencies, Aadhaar system and others, registration of charges, which is facilitated by central charge registration systems and taking control of cash flows, which is facilitated by the banks holding the bank account of the business concerned, including by way of creating escrow mechanisms.

Digitalization has also enabled decentralization and disintermediation of lenders. It is now possible to undertake direct lending through small lenders instead of depositing savings with banks.

This has created the right conditions for credit and loans businesses to thrive. Major businesses were able to get credit earlier in the non-digital system as well. Small businesses (let us define every unincorporated business that employs even a single person as a small business) are now in the process of getting connected to the credit system thanks to a number of